

Braking NEWS

The auto industry is banking on new rollouts and strategic tie-ups to get back on the road

| By Nivedita Mukherjee |

Recession is the unlikeliest of times to launch cars, especially luxury models with formidable price tags. But the czars of India's automobile industry are defying logic and doing just that. The reason? With high interest rates and input costs coupled with plunging output and lower sales, passenger and commercial vehicle makers believe the only way to keep consumer interest alive is to roll out new models, offer huge discounts and enter into strategic tie-ups. Whether that strategy works is too early to say but it's certainly one way of negotiating the rough road ahead.

Till the financial crisis hit, Indian auto industry was in top gear, averaging the spectacular growth rate of 17 per cent per annum. The economic meltdown, coinciding with a tight monetary policy and high interest rates over the last one year, has put a large speedbreaker in that path by shrinking availability of consumer finance and squeezing demand.

Two years back almost 80 per cent of the car sales were financed, but after July last year that figure shrunk to 72 per cent, and by December to 58 per cent. Banks see little point in extending finance when plants are facing block closures in Nashik and Pune, production is down, and sales and exports are hitting rock bottom. While Hyundai Motors India Ltd (HMIL) is now operating at a lower capacity of 5.8

JEJURIKAR (RIGHT) AND GENERAL MANAGER GAURAV SAXENA WITH THE XYLEO



HEMANT CHAWLA

million vehicles as opposed to its built-in capacity of 6.4 million in its two facilities near Chennai, Tata Motors has had frequent shutdowns of its Jamshedpur plant with production down to 3,60,774 vehicles from 5,81,358 in 2007-08. While Force Motors, which makes three-wheelers and heavy commercial vehicles, has introduced a five-day week, Ashok Leyland is working its plants for three days a week and exercising cost cuts in travel, advertising and wage bills. But austerity is now extending to layoffs, like in Tata Motors which has sacked 4,000 temporary workers.

No surprise then, expansion plans are on hold and bottomlines have shrunk as the latest quarter results show. The launch of Tata's global showpiece, the Nano, has just been postponed by a year. Tata Motors' Managing Director Ravi Kant says, "In

the October-December quarter, the sector suffered severe contraction in demand, arising from major financial and other market upheavals. This exacerbated the lack of liquidity."

The upheaval hasn't spared even the small car segment. Changes in foreign exchange rates have hugely impacted auto majors like Maruti Suzuki. The Yen-Rupee rate moved from 35 paise to 54 paise during the quarter. This depreciation of around 50 per cent was reflected in rising import costs. "For the second consecutive quarter, Maruti has shown a 54 per cent drop in net profit, compared to same quarter last year, and a 2.1 per cent drop in market share in this quarter," says R.C. Bhargava, managing director, Maruti Suzuki. Commercial vehicles are no better off. Contraction in freight movement has led to a steep fall of 61 per cent in demand in the

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RAVI KANT, MD, TATA MOTORS

